

The stock pushed through the trendline on relatively high volume, then paused for a month and formed a falling wedge or pennant. Following that, on very high volume, price jumped up to new highs, but this did not last very long as the stock entered a consolidation phase below 18. There it stayed for many months before the stock jumped up and ran still higher. By late June 1996, the stock had touched 28.75, a rise of about 140% from the breakout, and 350% from the low.

Many might think this formation is a cup-with-handle, but it's too long (at 1 year and 9 months). It's a BARR bottom, because a cup does not depend on a down-sloping trendline and a larger handle on the left such as that shown in the Figure. Whatever you call the chart pattern, the result is still the same: Price moved higher.

Identification Guidelines

[Table 14.1](#) shows a host of characteristics that correctly identify a BARR bottom. [Figure 14.2](#) illustrates the various characteristics outlined in the table.

Appearance. Overall, the chart pattern appears as a frying pan. The handle, or lead-in phase, forms a trendline that slopes downward at an angle of about 30 degrees to 45 degrees, more or less. Draw the trendline along the high price because the line signals a buying opportunity once pierced.

Unlike BARR tops, sometimes *horizontal* trendlines in the lead-in phase contain valid BARR bottoms. Such situations are rare, though, and should be avoided. The trendlines in this study are higher on the left and slope downward—these give the best performance.